

Chapter – 11: From Barter to Money

The importance of money flows from it being a link between the present and the future. – John Maynard Keynes, 20th century economist

- Theme – tapestry of the past – read about – crops grown – food grain – good made – carnelian beads
- People exchanged – goods, services – other goods, services – this sys. – **barter sys.**
- Suppose – you need pencil and have extra eraser – your classmate forgot eraser and have extra pencil
- You – exchange pencil for eraser – satisfy both needs – how barter sys. works
- Today – use coins, notes – buy, sell things – also use – mobiles, computers – **transactions**
- Barter sys. – earliest form – exchange – lot of evidence – people – use **commodities** – cowrie shells, salt, tea, tobacco, cloth, cattle, seeds, etc

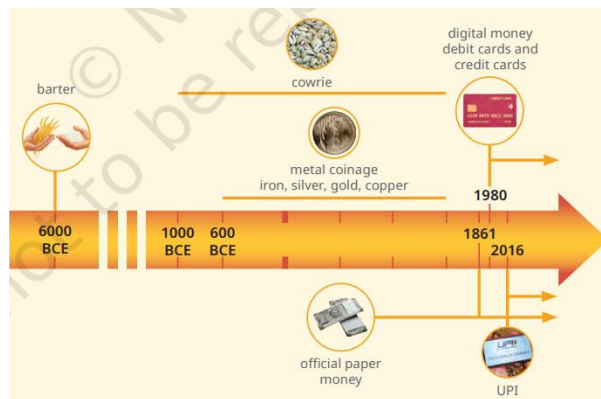
Why Do We Need Money?

- Story of farmer –
 - Imagine – farmer in a barter sys. – owns ox – wants shoes, sweater, medicine
 - How to exchange – the ox – other things – what problems
 - 1st – find someone – needs ox
 - Now – swapping ox for shoes – not fair exchange
 - Go through – series of exchange – exchange ox for wheat – transport wheat – exchange wheat for shoes, sweater, medicine
 - Every time – discuss – amt. of wheat – exchange for diff. items
 - Leftover wheat – store safely – use another time
- Farmer's story – imagine – finds someone – willing to trade – shoes, medicine, sweater for ox – this situation – not easy
- People – depend on barter sys. – face problems – making exchange
- Find someone – want exact item – they want to give – in return – able to offer – exactly what other party wants – **double coincidence of wants**
- Even – 2 people – available – want each other's goods – also willing – exchange – other issues – what proportion to exchange goods in
- Such cases – very difficult – compare values – diff. goods
- One person thinks – exchange – disadvantageous – not interested in exchange
- Reason – no **common standard measure of value**
- Similarly – cannot exchange – part of ox – 1 item – problem of **divisibility**
- Taking ox everywhere – leads – problem of **portability**
- Part of problem – solved – exchange ox for wheat – BUT – new problem – cannot store wheat – long periods – either rot or eaten by rats – problem of **durability**
- **Book exchange** –
 - Fun club – trade old books with friends – treasure hunt for stories
 - Bring books – you have read – pick new ones – big collection
 - Example – swap your jungle adventure – friend's mystery story
 - Cool way – discover new things – without spending money
- **Clothes exchange** –
 - Common example – exchange old clothes – new utensils
 - This sys. – vendor visits home – offer utensils – in return for used clothes – benefit both

Basic Functions of Money

- Necessity is the mother of invention
- Types, no. of things to exchange – increased – dist. between places – increased – need for a diff. sys. – required
- Common *medium of exchange* – makes trade easier – money – came to exist
- More and more people – began to use it – transactions – it became the accepted method – payment
- Farmer's story – wheat – could not store for long
- Farmer – uses money – instead of wheat – medium of exchange – keep money – longer time
- Money – **store of value** – used later
- Money – also serves – *common denomination* – measures value – goods, services – enables comparison
- Example – parents – pay money – shopkeepers – various products
- Shopkeepers – use money – pay salary – staff
- Staff – use money – buy everything – pay school fees
- Fact – money – accepted way – deferred payment – makes money – **standard of deferred payment**

The Journey of Money



Coinage

- As seen – timeline – coins – earliest forms of money
- Those times – rulers – issue coins – used by citizens – respective kingdoms – transactions
- Diff. kingdoms – own coinage
- **Minting**, issue of coins – controlled by rulers
- Over time – coins – powerful rulers – accepted – various kingdoms – facilitated trade across geographies
- Coins – made of – precious metals – gold, silver, copper, **alloys** – called *karshapanas* or *panas* – had symbols punched – called *rupas*
- Ancient times – 2 side of coins – head (**obverse**) and tail (reverse) – diff. kinds – symbols, motifs – engraved on them
- Motifs – of nature – animals, trees, hills – those of kings, queens, deities
- Example – coins – Chalukyas – *Varaha* (avatar of Vishnu) – one side – Royal Parasol – other side
- Use of coinage – boost India's maritime trade
- Example – Roman gold coins – found in parts of Kerala, Tamil Nadu – throws light – trading act. – southern India – rest of world
- On this basis – scholars conclude – trade – favour of India
- Barter sys. – non-metallic money – coinage – metallic money – gave way – other forms

Paper money

- Very difficult – carry – large no. of coins – storing coins – problematic

- Search for more suitable alternative – ended – paper money – **currency**
- Paper money – 1st used – China – came to India – late 18th cent.
- Coins – smaller **denominations** – paper currency – higher denominations
- Ancient times – coins – issued by rulers
- Today – India – central authority – Reserve Bank of India (RBI) – controls – issue of currency
- Not legal – anybody other than Rbi – issue currency

New forms of money

- Time progressed – tech. advanced – other forms – came to exist
- Krishnappa – sell seasonal fruit – along with colourful fruits – little card – **QR code**
- His customers – scan QR code – mobile phones – pay digitally – payment – directly into his account
- Apart from tangible forms – coins, paper notes – money – intangible forms – cannot touch, feel – digital money – elec. form
- Diff. payment methods – debit cards, credit cards, net banking, UPI (Unified Payments Interface) – also used – transactions
- These mediums – transfer directly – one bank account to another